

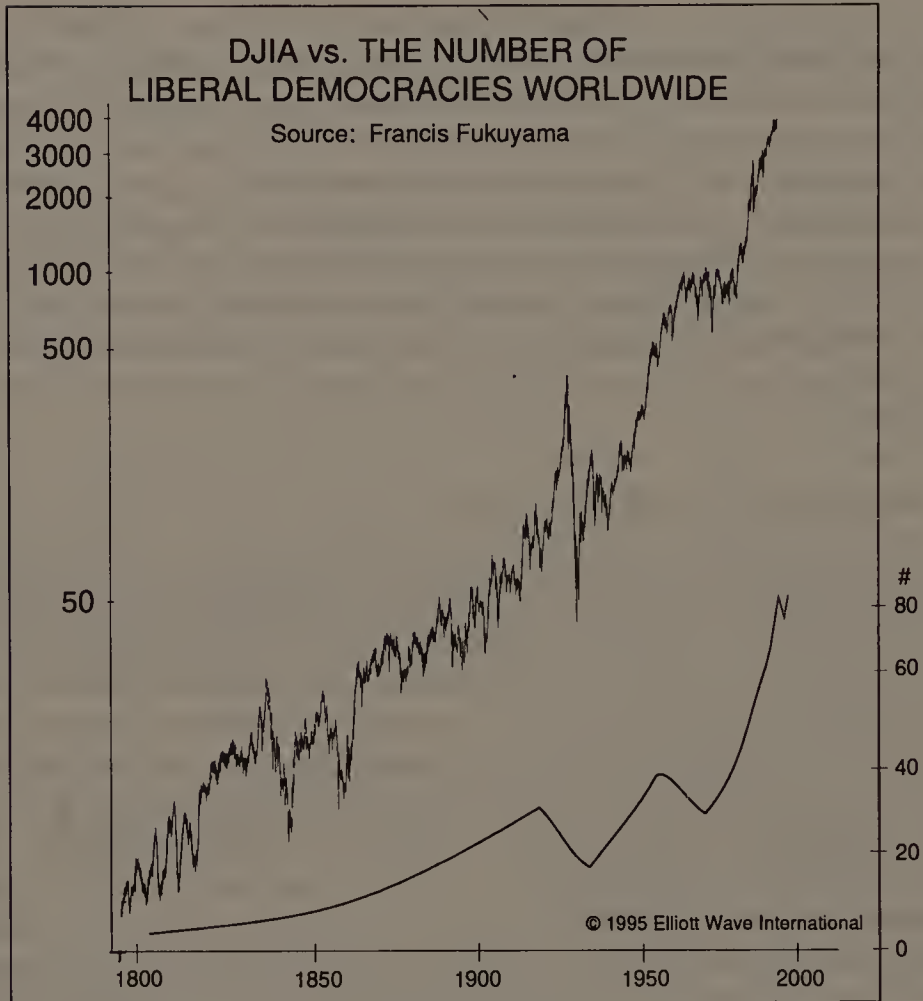


Figure 12-2

low in 1784 to its current all-time high. In fact, the two “corrections” of the trend toward liberal democracy in the author’s graph roughly coincide with bear phases in stocks, exactly reflecting the case that a negative trend in social mood has tangible results. The extent of worldwide liberality in politics has waxed and waned for millennia, so it is doubtful that an endless political New Age is dawning; more likely, one is cresting. While the Wave Principle does reveal that mankind’s progress is ultimately ever upward, each advance is nevertheless interrupted by setbacks. As the worldwide decline in fortunes takes hold during the Grand Supercycle bear market, the number of liberal democracies will shrink. (Indeed, from a larger perspective, the next major wave of cultural advance might coincide with an even more liberal form of government, one that does not allow the majority to impose its whims upon everyone else.)